Practice workbook · Income statement from incomplete records

A trader's income statement, or trading section, where sales, purchases and expenses must first be derived from cash records.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-09

1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

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2 Yamini purchases and sells goods on a credit basis. She provided the following information for the year ended 30 September 2022.

	1 October 2021 $	30 September 2022 $
Motor vehicles Cost Provision for depreciation	 50 000 10 000	 50 000 **To be calculated**
Inventory	25 750	27 460
Other payables – wages	–	500
Other receivables – office expenses	–	400
Trade payables	15 500	12 750
Trade receivables	21 400	32 500

Bank Summary

Receipts	$	Payments	$
Interest received	110	Drawings	18 000
Trade receivables	167 650	Office expenses	26 750
		Trade payables	92 750
		Wages	33 000

Depreciation is charged at 20% per annum using the reducing balance method.

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1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(a) Calculate for the year ended 30 September 2022:

(i) credit sales

(3)

(ii) credit purchases.

(3)

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1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(b) Prepare the income statement for the year ended 30 September 2022.

(12)

Yamini
Income statement for the year ended 30 September 2022

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1. Question 2 · part b · 12 marks

2023 JAN · Paper 02

Worked-example retry · Attempt part b only.

(c) State **two** accounting concepts that apply when preparing financial statements.

(2)

1 .....

2 .....

Yamani provided the following information at 30 September 2022.

	30 September	
	2021	**2022**
Current (working capital) ratio	2:1:1	2.3:1
Liquid (acid test) ratio	1.2:1	0.8:1

(d) Evaluate the change in liquidity from 2021 to 2022.

(5)

(Total for Question 2 = 25 marks)

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1. Question 2 · part b · 12 marks · Working and answer

Working and answer

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2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

1 (a) State **two** stakeholders and their interests in the financial statements of a business.

(4)

The first one has been completed as an example.

Stakeholder	Interest
Employees	*Security of employment*

Abel does not keep a full set of accounting records.

He provided the following information for the year ended 31 March 2019.

	31 March 2019 $	1 April 2018 $
Inventory	9 000	8 600
Trade payables	1 600	1 900
Trade receivables	4 400	3 800

During the year ended 31 March 2019:

- receipts from credit customers were $47 600
- cash sales banked were $3 600 after Abel took $2 000 for personal use
- payments to suppliers were $38 200

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2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

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(b) Calculate for the year ended 31 March 2019:

(i) total sales

(6)

(ii) total purchases.

(4)

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2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

(c) Prepare an extract of the income statement for the year ended 31 March 2019 showing the **trading section** only.

(6)

Abel
Income statement for the year ended 31 March 2019

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2. Question 1 · part c · 6 marks

2019 JUN · Paper 02 (regional R)

Further practice · Attempt part c only.

Abel has calculated the following ratios.

	31 March	
Ratio	**2019**	**2018**
Current (working capital)	2.42:1	3.01:1
Liquid (acid test)	0.92:1	1.52:1

(d) Evaluate the change in the liquidity of the business.

(5)

(Total for Question 1 = 25 marks)

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2. Question 1 · part c · 6 marks · Working and answer

Working and answer

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3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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3. Question 1 · part b · 6 marks

2020 JAN · Paper 02

Further practice · Attempt part b only.

(c) Prepare an extract of the statement of financial position at 31 December 2019 showing the **equity section** only.

(5)

Mia

Statement of financial position at 31 December 2019

Equity

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(d) State **two** factors that cause non-current assets to depreciate.

(2)

1 .....

2 .....

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3. Question 1 · part b · 6 marks · Working and answer

Working and answer

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4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

1 On 1 May 2021 Sajjan started a business with capital of $75 000.

She provided the following information on 30 April 2022.

Bank summary

Receipts	$	Payments	$
Capital	75 000	Drawings	31 750
Trade receivables	165 200	Motor vehicle	40 000
Balance c/d	3 225	Office expenses	18 975
		Rent and rates	14 600
		Trade payables	104 200
		Wages and salaries	28 900
		Motor expenses	5 000
	243 425		243 425
		Balance b/d	3 225

- Closing inventory was valued at $36 000
- The carrying value of the motor vehicle was $38 000
- Trade receivables were $51 700 and trade payables were $42 500
- A provision for irrecoverable debts of 5% of trade receivables was created.
- Wages and salaries of $2 100 were owing and rent and rates of $1 400 were paid in advance.

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4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the income statement for the year ended 30 April 2022.

(10)

Sajjan
Income statement for the year ended 30 April 2022

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4. Question 1 · part a · 10 marks

2022 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2022.

(10)

Sajjan
Statement of financial position at 30 April 2022

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4. Question 1 · part a · 10 marks · Working and answer

Working and answer

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5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

1 Tim, a sole trader, provided the following information for the year ended 30 April 2023.

	1 May 2022 $	30 April 2023 $
Inventory	27 280	20 130
Trade receivables	31 550	41 790

During the year receipts from credit customers were $234 800 after deduction of a cash discount, $3 740

(a) Calculate the credit sales for the year ended 30 April 2023.

(5)

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During the year ended 30 April 2023.

- Equipment costing $27 000 was purchased. On 1 May 2022 the balance on the equipment account was $58 800. Depreciation is charged on equipment at 20% per annum using the straight line method. A full year's depreciation is charged in the year of purchase.
- Carriage paid was $2 475, including carriage inwards of $1 385
- Advertising paid was $1 930, including $195 for the three months to 31 May 2023.
- Wages paid were $5 600, which did **not** include $250 outstanding at 30 April 2023.
- General expenses paid were $70 000, including personal expenses of $1 650
- Total purchases were $139 000, which included goods taken for personal use of $3 950

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5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(b) Prepare the income statement for the year ended 30 April 2023.

(15)

Tim
Income statement for the year ended 30 April 2023

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5. Question 1 · part b · 15 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

(c) Explain why Tim made an adjustment for goods taken for personal use. You **must** refer to an accounting concept.

(3)

(d) Explain how Tim applies the consistency concept when depreciating non-current assets.

(2)

(Total for Question 1 = 25 marks)

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5. Question 1 · part b · 15 marks · Working and answer

Working and answer

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